

PABRAI INVESTMENT FUNDS

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mp@pabraifunds.com

To: All Limited Partners and Investors of the Pabrai Investment Funds
From: Mohnish Pabrai, Managing Partner
Date: October 13, 2025
Re: **Q3 2025 Letter to Partners**

Dear Partners:

For the quarter ended September 30, 2025, a total of \$2.6 million was added to the various funds by new and existing partners. The additions on a per fund basis are:

PIF2: \$0.2 million

PIF3: \$1.8 million

PIF4: \$0.6 million

PIF2 is the oldest fund and has been closed to new investors for many years. SEC rules limit PIF2 to a total of 100 partners and the fund currently has three open slots. PIF2 is open to US-based investors who are Qualified Clients. The minimum investment to join PIF2 as a new partner is \$10 million.

PIF3 is our offshore fund for non-US accredited offshore investors, and U.S. IRAs, foundations, and endowments. The minimum investment to join PIF3 as a new partner is \$10 million. PIF3 is closed to new and existing IRAs but continues to be open to US foundations/endowments and foreign investors. PIF4 is closed to new investors and is only open to additions from existing investors.

For existing investors in any of the funds, the minimum addition to their current investment is \$25,000. Here are the deposit slips for [PIF2](#), [PIF3](#) and [PIF4](#). If you are interested in or would like more information about the January 1, 2026 opening, please contact me at mp@pabraifunds.com or Kimberly Engleman at ke@pabraifunds.com. The updated performance numbers on all the funds are:

THE PABRAI INVESTMENT FUND II, LP (US Qualified Investors) Performance Summary:

	S&P 500	PIF2 (net to investors)
10/1/00-6/30/01	-14.0%	17.4%
7/1/01-6/30/02	-18.0%	35.3%
7/1/02-6/30/03	0.3%	34.2%
7/1/03-6/30/04	19.1%	38.7%
7/1/04-6/30/05	6.3%	23.4%
7/1/05-6/30/06	8.6%	15.0%
7/1/06-6/30/07	20.6%	34.0%
7/1/07-6/30/08	-13.1%	-32.4%
7/1/08-6/30/09	-26.2%	-25.2%
7/1/09-6/30/10	14.4%	43.6%
7/1/10-6/30/11	30.7%	35.8%
7/1/11-6/30/12	3.9%	-21.8%
7/1/12-6/30/13	20.6%	42.2%
7/1/13-6/30/14	24.6%	26.7%
7/1/14-6/30/15	7.4%	-4.5%
7/1/15-6/30/16	4.0%	-30.0%
7/1/16-6/30/17	17.9%	64.9%
7/1/17-6/30/18	14.4%	23.9%
7/1/18-6/30/19	10.4%	-19.2%
7/1/19-6/30/20	7.5%	-10.6%
7/1/20-6/30/21	40.8%	39.7%
7/1/21-6/30/22	-10.6%	-28.9%
7/1/22-6/30/23	19.6%	24.6%
7/1/23-6/30/24	24.5%	86.3%
7/1/24-6/30/25	15.1%	-25.2%
1/1/25-9/30/25	14.8%	-23.8%
7/1/25-9/30/25	8.1%	2.8%
Annualized	8.3%	11.0%
Cumulative	642.6%	1269.1%

PABRAI INVESTMENT FUND 3, LTD (Offshore/IRA Investors) Performance Summary:

	S&P 500	PIF3 (net to investors)
2/1/02-12/31/02	-20.4%	-5.2%
1/1/03-12/31/03	28.7%	96.5%
1/1/04-12/31/04	10.9%	14.7%
1/1/05-12/31/05	4.9%	-0.2%
1/1/06-12/31/06	15.8%	37.8%
1/1/07-12/31/07	5.5%	-7.8%
1/1/08-12/31/08	-37.0%	-60.9%
1/1/09-12/31/09	26.5%	125.0%
1/1/10-12/31/10	15.1%	34.4%
1/1/11-12/31/11	2.1%	-15.7%
1/1/12-12/31/12	16.0%	23.4%
1/1/13-12/31/13	32.4%	46.6%
1/1/14-12/31/14	13.7%	1.9%
1/1/15-12/31/15	1.4%	-16.7%
1/1/16-12/31/16	11.9%	2.3%
1/1/17-12/31/17	21.8%	109.2%
1/1/18-12/31/18	-4.4%	-41.9%
1/1/19-12/31/19	31.5%	12.5%
1/1/20-12/31/20	18.4%	18.4%
1/1/21-12/31/21	28.7%	-15.2%
1/1/22-12/31/22	-18.1%	16.8%
1/1/23-12/31/23	26.3%	38.9%
1/1/24-12/31/24	25.0%	61.9%
1/1/25-9/30/25	14.8%	-29.6%
7/1/25-9/30/25	8.1%	1.1%
Annualized	9.9%	10.6%
Cumulative	827.9%	974.8%

THE PABRAI INVESTMENT FUND IV, LP (US Qualified Investors) Performance Summary:

	S&P 500	PIF4 (net to investors)
10/1/03-12/31/03	12.2%	8.4%
1/1/04-12/31/04	10.9%	14.4%
1/1/05-12/31/05	4.9%	4.9%
1/1/06-12/31/06	15.8%	32.4%
1/1/07-12/31/07	5.5%	-3.4%
1/1/08-12/31/08	-37.0%	-60.0%
1/1/09-12/31/09	26.5%	118.8%
1/1/10-12/31/10	15.1%	30.7%
1/1/11-12/31/11	2.1%	-14.8%
1/1/12-12/31/12	16.0%	16.1%
1/1/13-12/31/13	32.4%	46.0%
1/1/14-12/31/14	13.7%	1.8%
1/1/15-12/31/15	1.4%	-15.4%
1/1/16-12/31/16	11.9%	6.3%
1/1/17-12/31/17	21.8%	62.4%
1/1/18-12/31/18	-4.4%	-22.8%
1/1/19-12/31/19	31.5%	18.0%
1/1/20-12/31/20	18.4%	-6.7%
1/1/21-12/31/21	28.7%	1.5%
1/1/22-12/31/22	-18.1%	-24.4%
1/1/23-12/31/23	26.3%	44.7%
1/1/24-12/31/24	25.0%	20.2%
1/1/25-9/30/25	14.8%	-20.5%
7/1/25-9/30/25	8.1%	4.7%
Annualized	11.1%	6.1%
Cumulative	923.3%	268.9%

General Comments

All three funds are up 1-5% for Q3 2025 but are down 20-30% through 9/30 this year. In comparison, the S&P 500 is up about 8% for the quarter and 15% through 9/30 in 2025. Pabrai Funds is highly concentrated. Reysas Logistics, TAV Airports and Alpha Metallurgical Resources (AMR) collectively make up 59%, 65% and 47% of PIF2, PIF3, and PIF4, respectively. These three stocks are down 45%, 25% and 18%, respectively, through 9/30 this year, and explain much of our 2025 lackluster results.

While there is some justification for Alpha being down (met coal prices are weak), it is hard to come up with a reason for the other two. We also own Reysas REIT, which is flat for the year. It is worth looking at Reysas Logistics and Reysas REIT in some detail as they collectively are our biggest bet.

Reysas REIT and Reysas Logistics

Reysas REIT and Reysas Logistics have market caps of \$960 million and \$700 million, respectively. Reysas Logistics owns 62% of Reysas REIT. These two businesses are joined at the hip. In other words, \$600 million of Reysas Logistics value is from its equity stake in Reysas REIT. Reysas Logistics owns several logistics businesses whose value I estimate at around \$500 million. These various logistics businesses are being implicitly ascribed a value of just \$100 million.

*"In the short run, the market is a voting machine
but in the long run, it is a weighing machine."*

— Benjamin Graham

The reality I focus on is that Reysas REIT has a likely liquidation value north of \$2.5 billion. From that it follows that Reysas Logistics has a likely liquidation value of around \$2 billion. They are today changing hands at around 1/3 of my estimate of their respective liquidation values. Note that I am referring to liquidation value, not intrinsic value, which could be meaningfully higher.

Over the last 6+ years of owning these businesses, we have seen the gap between market value and liquidation value narrow dramatically. In 2019, when we first invested in them, these businesses were valued at less than 3% of my estimate of their liquidation value!!

The founders of Reysas are gifted capital allocators. By my estimation, they have more than tripled the liquidation value of Reysas over the last six years! An annual compounded rate of 21%! Truly spectacular! Over the last six years, I have seen Reysas do many deals and leases etc. None looked dumb to me. An incredible record!

By my estimate, Reysas REIT had a liquidation value of less than \$800 million in 2019 which has now grown to over \$2.5 billion. This dramatic increase is heavily due to the actions of these gifted capital allocators who founded and run Reysas. A business that grows liquidation value per share at 21% a year for six years is likely to have an intrinsic value that is considerably above liquidation value. While there are no guarantees, it would be reasonable to assume that Reysas' liquidation value per share is likely to grow at over 10% a year over the next 5-10 years. Thus, the gap between present market value and likely intrinsic value in 5-10 years is massive.

We bought into a business six years ago at around 3% of my estimated liquidation value. A dollar of assets was acquired for less than 3 cents! The managers of the business have turned that \$1 into \$3 in the last six years! By my estimation, our 3 cents is now worth \$3! And they aren't done yet. The business continues to increase its intrinsic value. I believe this is the closest we can get to heaven in investing!

With Reysas REIT and Logistics I have always focused on how the business is doing and what actions its managers are taking to increase per share intrinsic value. I spend very little time trying to figure out what the Reysas stocks are doing and why. I believe it will sort itself out eventually and Reysas' market value will eventually hover around its intrinsic value.

"The best investors aren't investors at all. They are entrepreneurs who never sold."

— Nick Sleep

My job is to simply do nothing and be content with watching paint dry. The portfolio needs very little tweaking. I wrote about TAV Airports and Alpha and other positions in my [previous letter to partners](#). Our 2025 results don't look great. PIF4 numbers have not looked great for a while. I believe this is because all three funds are being valued at steep discounts to underlying intrinsic value of what they own. Some of these bets will end up being mistakes. Even with a healthy error rate, our results over the next 5-10 years should be very acceptable for all three funds. Thank you for your support and confidence and being a part of this journey.

Alignment of Interests

My immediate family has a stake of 167,886 units of PIF2 and 227,121 units of PIF4. The administrative team at Pabrai Funds and I own 42,917 units of PIF4 and 11,773 units of PIF3 in various retirement accounts. In addition, The Dakshana Foundation owns 86,246 units of PIF3. The aggregate stake of the Pabrai family, the Pabrai Funds team and The Dakshana Foundation in Pabrai Funds is worth approximately \$43 million.

Pabrai Funds charges no management fee, just performance fees – which are a fourth of the returns over 6% annualized (subject to high-water marks). I only get paid when you make money. When you win, I win. I am very bullish on the long-term future of Pabrai Funds – as demonstrated by the fact that my family, together with entities that I control, are collectively the largest investor in the funds. No fees were earned in Q3 2025.

I have an approximately \$4 million investment in Dhandho Holdings. Additionally, The Dakshana Foundation has an approximately \$0.4 million investment in Dhandho Holdings. Besides this, I have no other meaningful interests in any other mutual funds, hedge funds or private equity funds. Our interests are completely aligned.

New Bank and Wire Instructions for Subscriptions and Deposits

PIF2, PIF3 and PIF4 have all changed the bank that they use to accept incoming wires for new subscriptions and additional deposits from Northbrook Bank & Trust (Wintrust) in Chicago to Horizon Bank in Austin, Texas. As a result, the wire instructions that you will use to wire your contributions to any of the three funds have now changed to the Horizon Bank instructions. **Please do not use the Wintrust instructions anymore as those accounts are closed.** The Horizon instructions have all been updated on all our subscription agreements and deposit slips. If you have any questions or need any assistance, please do not hesitate to contact Kimberly Engleman at ke@pabraifunds.com.

Online Portal for Investment Statements

Your 9/30 investor statements for each Fund have been uploaded to your investor portal. If you have trouble accessing your investor portal or need to reset your password, please contact Kimberly Engleman at ke@pabraifunds.com for assistance.

Estimated K-1's (for US Investors)

For PIF2 and PIF4 investors, we provide estimated K-1's in October and another in December if there are material changes to the first estimate. The first one gives the estimated gains through September 30th, and the second, if applicable, through November 30th. Your 9/30 estimate will be on your online portal by the end of October and the 11/30 estimate will be uploaded by late-December (if applicable), by our Administrator, Liccar. Your final K-1's will be issued in late March.

Redemptions

Please note that if you plan to redeem funds, we must have the request in writing by November 1, 2025. Funds go out approximately 20 business days after year end based on the December 31 NAV. To get the redemption form emailed to you, please nudge Kimberly Engleman at ke@pabraifunds.com.

The redemptions forms are also on our website:

[PIF2 Redemption Form 2025](#)

[PIF3 Redemption Form 2025 - US](#)

[PIF3 Redemption Form 2025 - Offshore](#)
[PIF4 Redemption Form 2025](#)

As a reminder to our older IRA investors, keep in mind that redemptions are paid in January when submitting a redemption for any Required Minimum Distribution (RMD). If you are turning 73 in 2025, you may need to submit your redemption form this year to satisfy the RMD.

We have an annual redemption date on September 30th only for retirement accounts invested in the PIFs in which the beneficial owner is 73 years or older. The purpose of this is to allow folks who are 73 years or older and who are invested in the PIFs with retirement assets to meet their annual RMDs. These investors can also still redeem whatever they wish on 12/31 with 60 days' advance notice.

RMD redemptions at September 30 on a per fund basis are:

PIF3: \$2,876,256

PIF4: \$335,673.

Firm Brochure, Brochure Supplement, and Privacy Notice:

The latest versions of Part 2A of our Form ADV (i.e., our Firm Brochure), Part 2B of our Form ADV (i.e., our Brochure Supplement), and our Privacy Notice can be found in the legal tab of our website: [Legal](#).

Suggestion Box

We are always interested in hearing how we can better serve you. Please feel free to email me any suggestions/feedback you may have at mp@pabraifunds.com.

2026 Annual Meeting

There will be two annual meetings held sequentially in 2026: an in-person meeting in Austin, Texas and a virtual meeting. These meetings will cover Pabrai Funds, Dhandho Holdings and Dhandho Funds.

The **In-Person Austin** meeting is scheduled to be held on **Saturday, April 11th, 2026** at 4:00 PM Central Time at:

St. Edwards University

John Brooks Williams Science Center South
3001 South Congress, Austin, Texas 78704-6489

Tel: +1 512-448-8400

St. Edwards has a beautiful campus lined with 100-year-old Texas live oak trees and is only 10 minutes from downtown Austin. It is also a 10-minute drive from Austin-Bergstrom International Airport (AUS).

There are many hotels and Airbnbs in downtown Austin, and cheaper options 10-15 miles out.

Agenda for the Austin meeting:

4:00 – 4:30 PM: Meet and Greet
4:30 – 6:30 PM: Presentation and Q&A
6:30 – 7:15 PM: Cocktail Hour

The **Virtual** meeting is scheduled to be held via video conference on **Saturday, April 18, 2026**, at 1:00 PM Central Time. Confirmed guests will receive instructions via email on how to attend the virtual meeting.

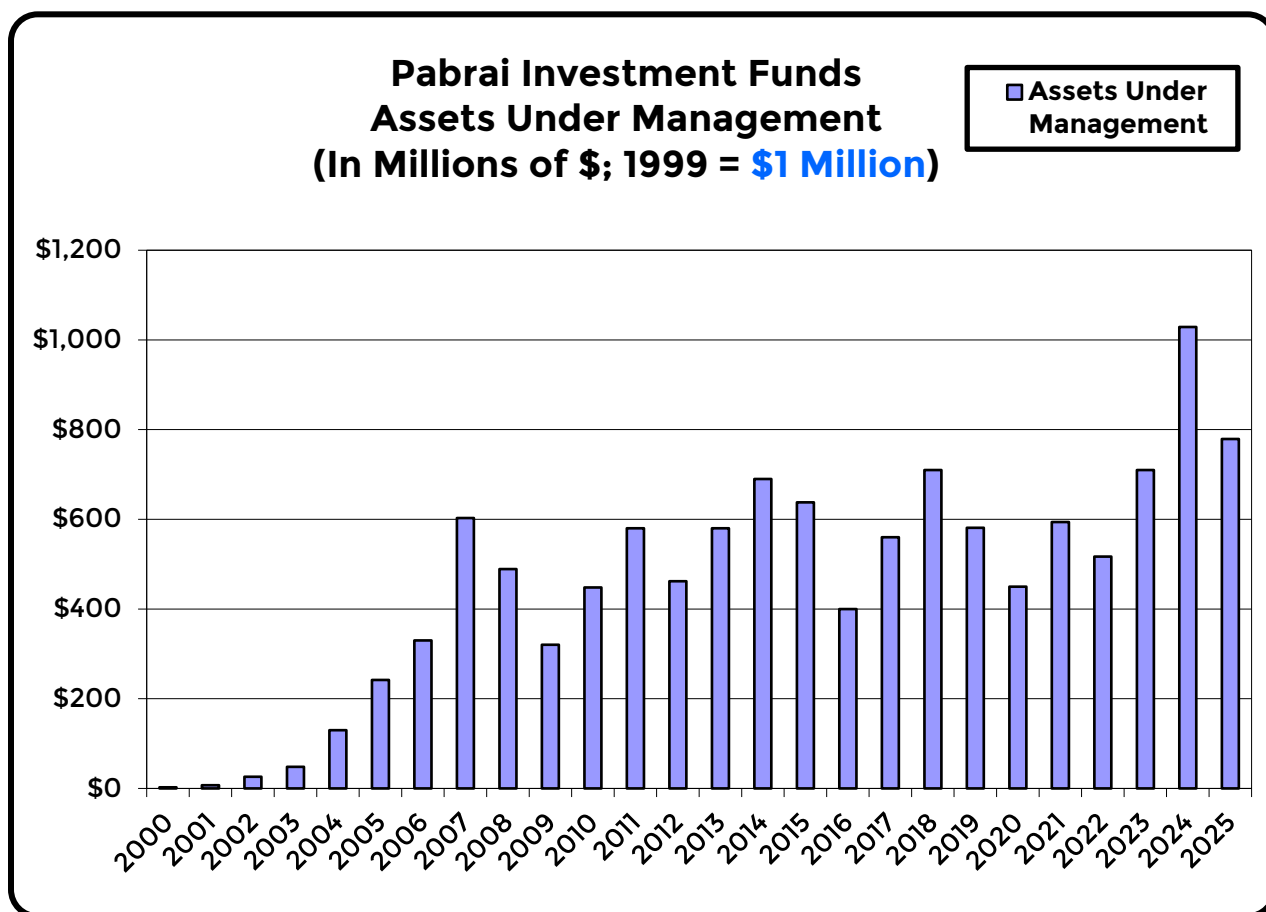
Agenda for the virtual meeting:

1:00 – 3:00 PM Central Time: Presentation and Q&A

The invites will go out electronically via email in January. Look for it in your inbox! If you don't receive it, please contact invite@pabraifunds.com. Your significant other and young kids are welcome to attend. As we are a Registered Investment Advisor, the SEC requires that all guests must be "accredited investors," which includes your adult kids (22 years or older). The invitation is non-transferable. I look forward to seeing you in April.

Assets Under Management

There is \$779 million in assets across all three funds as of September 30, 2025.



Thanks for your continued interest, referrals and support. Feel free to call me at +1512.999.7110 or email me at mp@pabraifunds.com with any queries or comments.

Warm regards,

Mohnish Pabrai

Note: The assets under management in the above graph are as of June 30 for all annual periods. Various indices are included throughout this letter for reference. Reference to an index or benchmark does not imply that the strategy will achieve returns, experience volatility, or have other results similar to the index. As an example, the Funds may invest in foreign securities or fixed income instruments; however the indices presented only include U.S. securities. These indices are purely a basket of stocks, and the Funds may invest in securities other than stocks such as bonds, warrants and preferred stocks. The Funds typically hold fewer than 10 positions as compared to 500 in the S&P, 30 in the DJIA, and thousands in the NASDAQ. Therefore, the Funds are significantly more concentrated than the benchmark indices and may experience notably higher volatility and return characteristics from these indices.

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Appendix A

PIF2's Performance History (Net to Investors)

No. of Units	Date	PIF2 NAV
110,000	10/01/2000	\$10.00
330,014	06/30/2001	\$11.74
1,027,795	06/30/2002	\$15.89
1,950,982	06/30/2003	\$21.32
2,445,212	06/30/2004	\$29.58
2,696,688	06/30/2005	\$36.52
2,634,780	06/30/2006	\$41.99
2,969,380	06/30/2007	\$56.25
2,931,045	06/30/2008	\$38.01
2,463,647	06/30/2009	\$28.45
2,393,859	06/30/2010	\$40.84
2,257,420	06/30/2011	\$55.46
2,180,892	06/30/2012	\$43.36
2,057,676	06/30/2013	\$61.68
1,906,927	06/30/2014	\$78.13
1,795,006	06/30/2015	\$74.64
1,684,602	06/30/2016	\$52.26
1,774,805	06/30/2017	\$86.17
1,959,084	06/30/2018	\$106.77
1,884,302	06/30/2019	\$86.30
1,829,713	06/30/2020	\$77.13
1,833,800	06/30/2021	\$107.77
1,807,057	06/30/2022	\$76.64
1,861,149	06/30/2023	\$95.50
1,840,690	12/31/2023	\$130.96
1,861,689	03/31/2024	\$135.13
1,868,719	06/30/2024	\$177.96
1,901,452	09/30/2024	\$153.03
1,926,412	12/31/2024	\$179.67
1,935,651	03/31/2025	\$136.27
1,937,853	06/30/2025	\$133.14
1,941,232	09/30/2025	\$136.91

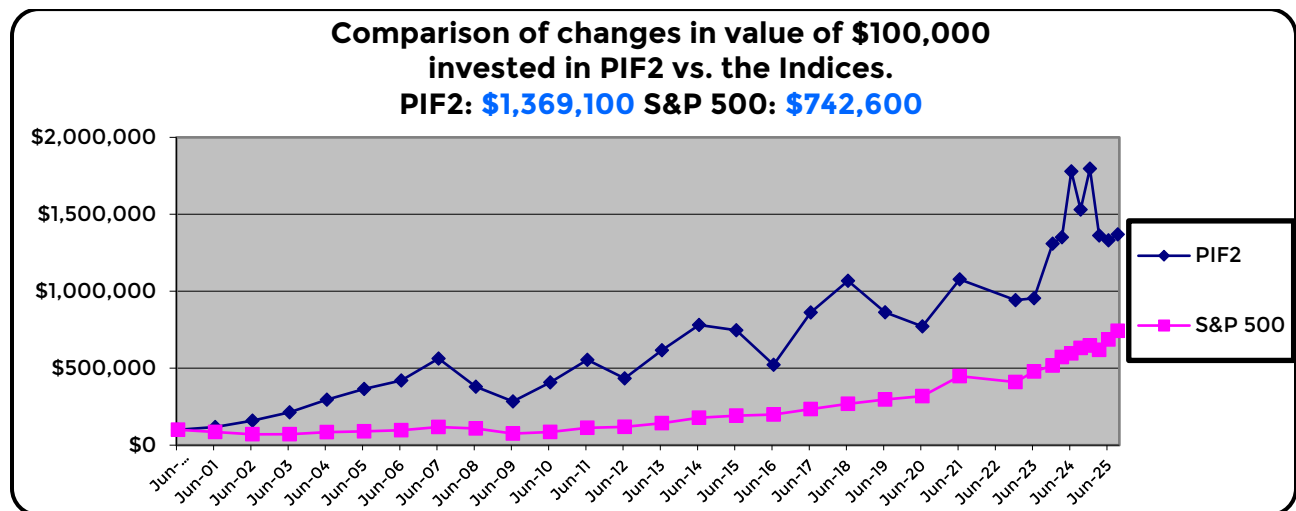
PIF3's Performance History (Net to Investors)

No. of Units	Date	PIF3 NAV
65,100	02/01/2002	\$10.00
266,019	12/31/2002	\$9.48
479,673	12/31/2003	\$18.63
1,633,201	12/31/2004	\$21.37
2,450,650	12/31/2005	\$21.32
2,876,646	12/31/2006	\$29.37
6,336,472	12/31/2007	\$27.09
5,405,734	12/31/2008	\$10.57
5,038,652	12/31/2009	\$23.79
4,885,248	12/31/2010	\$31.95
4,701,614	12/31/2011	\$26.92
4,318,818	12/31/2012	\$33.21
4,375,863	12/31/2013	\$48.70
4,290,222	12/31/2014	\$49.61
3,798,683	12/31/2015	\$41.33
2,330,096	12/31/2016	\$42.27
2,381,430	12/31/2017	\$88.45
2,379,615	12/31/2018	\$51.42
2,376,897	12/31/2019	\$57.85
2,326,717	12/31/2020	\$68.52
2,438,032	12/31/2021	\$58.11
2,623,843	12/31/2022	\$67.86
2,629,823	12/31/2023	\$94.28
2,733,774	03/31/2024	\$98.12
2,800,444	06/30/2024	\$138.09
2,828,995	09/30/2024	\$117.58
2,686,957	12/31/2024	\$152.63
2,736,103	03/31/2025	\$113.96
2,792,703	06/30/2025	\$106.26
2,799,351	09/30/2025	\$107.48

PIF4's Performance History (Net to Investors)

No. of Units	Date	PIF4 NAV
595,030	10/01/2003	\$10.00
1,219,330	12/31/2003	\$10.84
5,627,712	12/31/2004	\$12.40
9,055,843	12/31/2005	\$13.01
10,833,516	12/31/2006	\$17.23
15,891,190	12/31/2007	\$16.64
15,688,228	12/31/2008	\$6.66
14,864,752	12/31/2009	\$14.57
15,246,424	12/31/2010	\$19.05
14,493,713	12/31/2011	\$16.24
12,398,564	12/31/2012	\$18.85
11,560,682	12/31/2013	\$27.53
10,641,808	12/31/2014	\$28.03
9,531,765	12/31/2015	\$23.71
8,701,894	12/31/2016	\$25.21
8,039,765	12/31/2017	\$40.96
7,809,565	12/31/2018	\$31.64
6,628,989	12/31/2019	\$37.33
6,019,728	12/31/2020	\$34.82
5,759,043	12/31/2021	\$35.33
5,674,342	12/31/2022	\$26.69
5,304,941	12/31/2023	\$38.62
5,386,505	03/31/2024	\$39.47
5,793,964	06/30/2024	\$47.52
5,852,687	09/30/2024	\$46.79
5,646,298	12/31/2024	\$46.42
5,708,043	03/31/2025	\$35.12
5,751,543	06/30/2025	\$35.24
5,763,724	09/30/2025	\$36.89

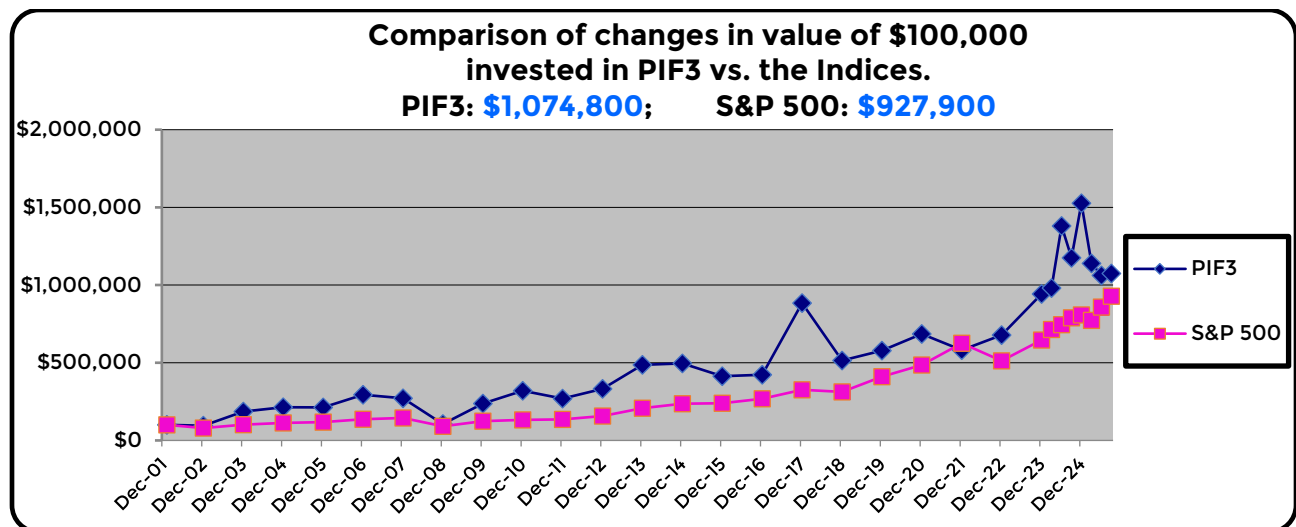
THE PABRAI INVESTMENT FUND II, LP (US Qualified Investors) Performance Summary:



PIF2 Investors:

A \$100,000 investment in PIFI at inception on July 1, 1999 and rolled over into PIF2 on 12/31/02 (\$197,900) was worth \$1,918,000 as of September 30, 2025 (net to investors). This equates to an annualized return of 11.9% since inception – after all fees and expenses. An investment of \$100,000 in the S&P 500 on July 1, 1999 was worth \$788,800 on September 30, 2025 – an annualized gain of 8.2%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF2 is shown as June 2000 for readability. The correct start date is October 2000.

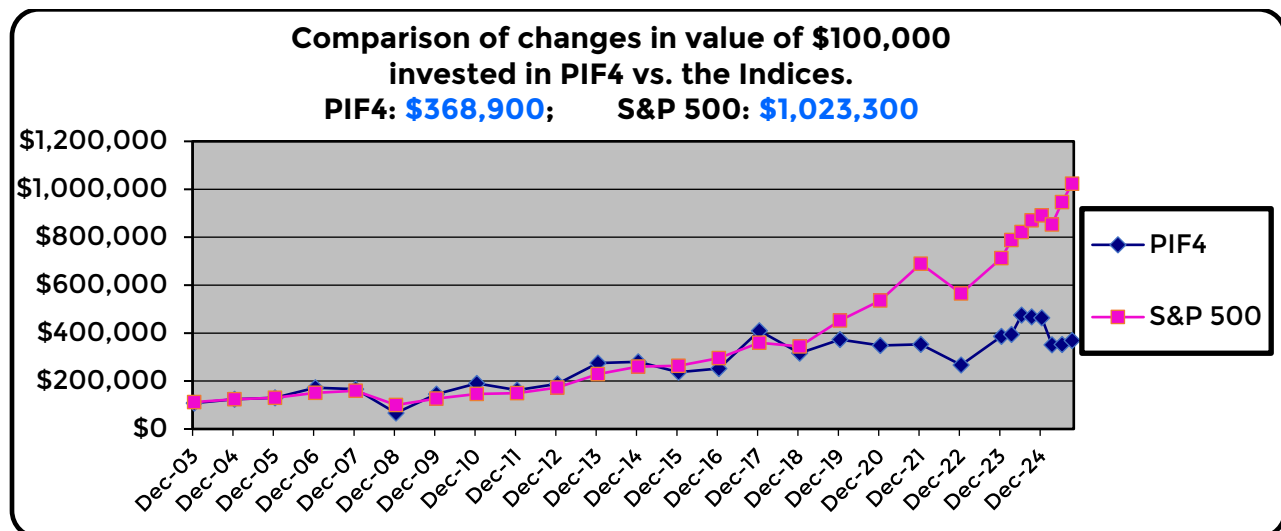
PABRAI INVESTMENT FUND 3, LTD (Offshore/IRA Investors) Performance Summary:



PIF3 Investors:

A \$100,000 investment in PIF3 at inception on February 1, 2002 was worth \$1,074,800 as of September 30, 2025 (net to investors). This equates to an annualized return of 10.6% since inception. An investment of \$100,000 in the S&P 500 on February 1, 2002 was worth \$927,90 on September 30, 2025 – an annualized gain of 9.9%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF3 is shown as December 31, 2001 for readability. The correct start date is Feb. 1, 2002.

THE PABRAI INVESTMENT FUND IV, LP (US Qualified Investors) Performance Summary:



PIF4 Investors:

A \$100,000 investment in PIF4 at inception on October 1, 2003 was worth \$368,900 as of September 30, 2025 (net to investors). This equates to an annualized gain of 6.1% since inception. An investment of \$100,000 in the S&P 500 on October 1, 2003 was worth \$1,023,300 on September 30, 2025 – an annualized gain of 11.1%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF4 is shown as Dec 31, 2003 for readability. The correct start date is Oct. 1, 2003.

Important Disclosures:

Past performance is not indicative of future results. Returns are presented net of all fees and expenses, include the reinvestment of income and are calculated using a simple rate of return. The securities discussed do not represent all securities recommended for the Funds. It is also not a recommendation to buy or sell and one should not presume they will be profitable.

Due to the high concentration in a small number of holdings, each Fund's performance may be hurt disproportionately by the poor performance of one or only a few stocks.

Before making any investment decision, consider whether it is suitable for you and consider seeking advice from your own financial or investment adviser.

Please be aware that our current and past newsletters may discuss specific securities that have performed well without necessarily addressing those that have underperformed within our Fund(s). Readers should not infer that all investment decisions within the Funds were profitable.